CASE STUDY

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A Tower of Regulations

Kulkarni has been designing redevelopment projects in Mumbai for the past 20 years. For each project, which involves dismantling old buildings and constructing new ones in their place, Kulkarni has to obtain clearances from four key government agencies—the Brihanmumbai Municipal Corporation (BMC), the Maharashtra Housing and Area Development Authority (MHADA), the Mumbai Metropolitan Region Development Authority (MMRDA), the Maharashtra Industrial Development Corporation (MISC) and the Slum Rehabilitation Authority (SRA). Then, there are the approvals from environmental clearance committees, as well as the fire, aviation and heritage departments. Coastal Regulation Zone norms have to be observed too. This complex web of approvals and compliances often leads to significant project delays and cost escalation.

"A redevelopment project in Mumbai requires 25-30 approvals. The delay due to these raises the cost of construction, making projects unviable"

(IMT) of Faridabad was Rs 14,900 per square metre in June 2013, it has gone up to Rs 67,000 per sq. m in 2025 under new auctions or resale, which is unviable for a new entrepreneur. In West Bengal, business gets easier if it is being set up in a land parcel recognised or allocated by the West Bengal Industrial Development Corporation (WBIDC), the state's nodal agency for industrialisation. However, an entrepreneur still has to secure individual clearances from various departments. While WBIDC provides some facilitation by issuing letters to the relevant authorities, expediting the process to a certain extent, the overall system remains unwieldy, say industry sources. And even if you manage to obtain land permissions, 14 other agencies, including town planning, the survey department and the public works department, come into play. Several states have announced a single-window clearance for land, but it is not without loopholes, they say.

Labour Pangs

According to a 2024 TeamLease RegTech report titled 'Decoding India's Labour Compliance Framework', almost 47 per cent of all compliances (32,542) and 46 per cent of all filings (3,048) relate to labour. Of these, 54 per cent (17,819) carry imprisonment as a penalty for non-compliance. State-level compliances have a staggering 97 per cent share in all labour-related obligations for businesses (31,605), compared to Union-level compliances, which number a much lower 937. Karwa, also chair of the MSME committee of industry body PHDCCI (PHD Chamber of Commerce and Industry), says that certain states mandate that enterprises have 60-70 per cent of their labour force be local. However, locals often take factory jobs as a side gig in addition to their family businesses of dairy or farming, and can be fickle employees. "And the government does not allow us to terminate inefficient employees," Karwa says.

Labour unrest, therefore, is common across the country. In the recent month-long strike in Samsung Electronics' manufacturing facility in Tamil Nadu, more than 1,000 workers protested the suspension of 23 people who wanted their trade union to be registered. The company incurred a loss of around $100 million (Rs 857.1 crore) on account of the strike. The increased cost of compliances also pushes businesses towards informal recruitment. As does overtime wages, as experts point out. According to Section 59 of the Factories Act, workers who put in more than the mandated 48 hours a week are entitled to overtime at double the regular wage, pushing employers to opt for informal channels to get people to work overtime.

India's compliance ecosystem is also inherently fluid, making it difficult for businesses to keep up. "In 2024, 9,331 regulatory updates were published at the Union, state and local body levels across seven categories of the law," says Rishi Agarwal, co-founder and CEO of TeamLease RegTech. These could be notifications, gazettes, circulars, ordinances, master circulars or press releases. Many of them change the forms, formats, due dates, frequency, penalty, duty structure, minimum wages or applicability thresholds. Navigating this intricate web of time-sensitive updates is not easy, he says, especially as there is no smart digital library with search, sort and filter capabilities. There is also uncertainty as every so often new legislations and rules are introduced, adding to the obligations. Such policy reversals create uncertainty for businesses, which typically plan contracts, supply chains and procurement six months to a year in advance.

The Economic Terrorism

Audits and inspections are another minefield for entrepreneurs, with factories potentially getting visits from 40 inspectors and government officials at any given time. While intended to ensure good governance, entrepreneurs lament that they are conducted without any objective criteria and are frequently an excuse for extortionate demands. Deepak